

4

The Fourth Dimension Price of a Conservative Investment

The fourth dimension of any stock investment involves the price-earnings ratio—that is, the current price divided by the earnings per share. In the attempt to appraise whether the price-earnings ratio is in line with a proper valuation for that specific stock, trouble begins to arise. Most investors, including many professionals who should know better, become confused on this point because they don't have a clear understanding of what makes the price of the particular stock go up or down by a significant amount. This misunderstanding has resulted in losses in billions of dollars by investors who find out later that they own stocks bought at prices that they never should have paid. Even more billions have been lost as investors have sold out, at the wrong time and for the wrong reasons, shares they had every reason to hold and which, if held, would have become extremely profitable as long-range investments. Still another result is one that, if it happens repeatedly, will seriously impair the ability of deserving corporations to obtain adequate financing, with all that this could mean in a lower standard of living for everyone: Every time individual stocks take sickening plunges, another group of badly burned investors places the blame on the system rather than on their own mistakes or those of their advisors. They conclude that common stocks of any type are not suit-able for their savings.

The other side of the coin is that many other investors can be found who over the years have prospered mightily from holding the right stocks for considerable periods of time. Their success may be due to understanding basic investment rules. Or it may be due to just plain good luck. However, the common denominator in this success has been the refusal to sell certain unusual high-quality stocks simply because each has had such a sharp fast rise that its price-earnings ratio suddenly looks high in relation to that to which the investment community had become accustomed.

In view of the importance of all this, it is truly remarkable that so few have looked beneath the surface to understand exactly what causes these sharp